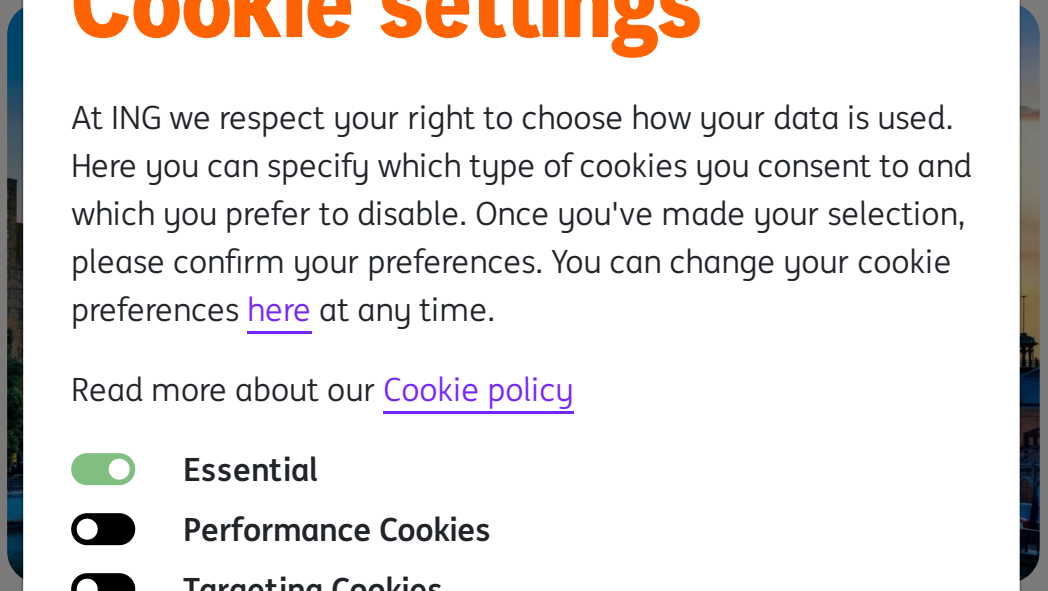
China's recent State Council meeting appeared to signal a more proactive policy push amid flagging growth. Even though trade ties with key partners such as the US and EU look more stable, global risks abound as 2027 approaches



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China's State Council meeting on 28 September called for stronger countercyclical policy adjustments. The following day, the People's Bank of China cut the one-year pledged supplementary lending rate by 25bp to 1.5%. It also increased re-lending quotas for technology and equipment upgrades and for rural and small businesses. Beijing announced the first-ever nationwide mortgage interest subsidy for first-time homebuyers to boost the struggling property market.

The package maintains an accommodative policy direction but relies on targeted tools and fiscal-monetary coordination rather than broad-based rate cuts.

Overall, these moves are likely to offer modest support to investment and housing at a time when credit demand is likely to remain under pressure amid weak sentiment.

There remains room for further support measures, such as policies to boost employment and incomes and other measures to boost domestic demand. Should economic momentum remain subdued into year-end, policymakers may respond with further fiscal s

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calling for tougher trade tools signals increasing risk that we could see trade barriers come into effect. EU-China trade talks concluded with an initial agreement to ease tensions. It includes reducing hybrid vehicle exports from China to the EU, improving market access, and increasing medical equipment imports from the EU to China. This should keep trade ties stable for now, but further negotiations are still likely ahead.

With the EU representing around 14-15% of China's total exports, the second-largest export market after ASEAN, maintaining stable trade ties remains important for China's outlook.

China's inflation remains the exception to the rule

We've seen inflation rise in many economies across the world. But prices in China have largely remained under control. Most worry about a return to deflation more than out-of-control inflation.

Two factors are curbing China's inflation: food and housing. Together, these represent over half of China's CPI basket. Food inflation has been kept low amid an extended downturn in China's pork price cycle. Supply has been aided by advancements in hog megafarms, low feed prices, and general efforts to maintain high le
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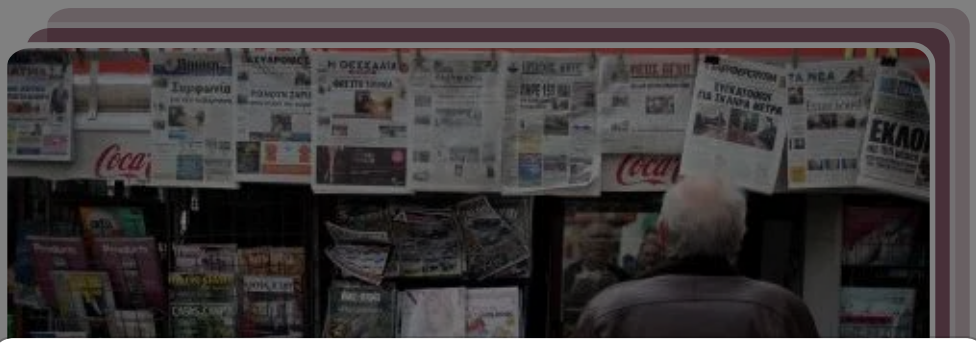
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